

However, if we can't find reasons or find reasons we disagree with, we should take a step back and stop pursuing the company. On the other hand, if we find valid reasons that make sense to us, then it can be a genuine situation.



For example, the company may have hired three CFOs in three years due to competency issues. However, if we agree with the given reasons, it's great, or else, we will not pursue the company.

Always remember that just because there is a warning sign doesn't mean there is a problem with the management. If we find reasons that we agree with, it's a great sign. But if we don't agree with the given reasons, we can pass that company and go ahead and analyze a different company.

So, this is about identifying and treating red flags. This ends our discussion on financial statement analysis. In the final chapter, we will discuss the path ahead.